
CLIENT RESEARCH NOTE

Risk Hiding in Plain Sight

What we found when clients sent us their pension plans

Glenorchy Capital

GLOBAL MACRO | COMMODITY SUPERCYCLE ROTATION

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What happened

Over the past few months a number of clients mentioned, usually in passing, that they had capital sitting somewhere other than with us. A 401(k), an old employer plan, a rollover IRA. And then they asked whether we would mind having a look at it.

So we looked. And then we looked at a lot of them, because the first few were concerning enough that we wanted to know whether they were unusual.

They were not. They are all more or less the same, and what is in them is bad enough that we made a presentation about it and are now writing to everybody.

This is the short version. There is a longer one with all the charts and sources if you want it.

If you are not American

Roughly half the people reading this are not, so it is worth saying early that we are not describing an American problem.

The plan we walk through below is a US one, because that is what most of the statements we were sent looked like. But most pension arrangements look much the same wherever they are held, whether that is Australia, New Zealand, the UK or Europe, because they are built out of the same small handful of global index funds.

If anything it is more direct outside the US. An American ends up in these companies through his domestic fund. Everybody else ends up in them through the global or international fund that was supposed to be the diversified option, because the largest single exposure inside it is the US market, and the non-US part of it is the chip manufacturers named below.

The bond problem travels too. It is not a US-only trade. We could show you UK gilts, or JGBs, or very nearly any government bond market on the planet, and the dynamics look the same. The chart we use in the presentation has the German bund sitting alongside the US ten-year, both doing the same thing.

What we found

You are not diversified. You are concentrated, and you have not been told.

A standard plan holds four things: US equities, international equities, bonds, and usually a slice of private equity. Four labels, and everyone reads that as spread risk.

They are largely the same bet. When one goes, the others go with it. The correlations are a lot closer to one than anyone has told you.

About a third of the entire plan is technology.

In the plan we went through, technology was 30.74% of the whole fund, bonds included, and in practice higher than that, because a company like Amazon gets counted as consumer. Exposure to the United States, 60%.

Your international fund owns the same thing as your US fund.

This is the one that surprises people. The international allocation is supposed to be the thing getting you away from American technology. Its four largest holdings are Taiwan Semiconductor, Samsung, ASML and SK hynix, which are the companies that manufacture the chips the whole AI buildout runs on.

So it is not getting you away from anything.

The market is about as concentrated as it has ever been.

The AI names are now more than 40% of the entire US market by value. For comparison, Japan at its peak in the late 1980s was 44%. The dotcom peak was 41%. The Nifty Fifty was 40%.

Every name on that list is remembered for what happened next.

And there is more borrowed money behind it than at any point on record.

Margin debt passed \$1.3 trillion, the highest ever recorded, up 53% in twelve months. Measured against the size of the economy it is about three percentage points above where it stood at both the 2007 and the 2000 peaks. On valuation, US stocks are the second most expensive they have been in history. Only the dotcom peak was higher. Today is above 1929.

The safe part is not the safe part.

The bond allocation, about a quarter of the plan, is there to hold up when equities do not. It did not do that in 2022, when bonds and equities fell together, and the link between them is tighter now, not looser, because the large AI companies have borrowed heavily to build their infrastructure. When rates rise, those companies get hit and so do the bonds.

Bonds are the pivotal market here. They are what reprices everything else.

The private equity slice has locked the doors.

That money was put there for diversification, and a lot of it has ended up lending to AI firms, which is not diversification at all. It is just more of the same risk.

Worse, a good deal of it was invested at interest rates three or four hundred basis points below today's. As that debt gets rolled, assets have to be sold, and they will not fetch what they are marked at. Investors have been asking for their money back and being told no. The funds have gated. Pension plans are among the investors who cannot get out.

Almost none of it is in anything real.

Energy, about 4%. Basic materials, about 4%. Minuscule, in a portfolio meant to carry someone through the next fifteen years.

Why this matters more than it looks

If this were a bad year, it would not be worth writing to you about.

The problem is what happens afterwards. People who were invested at the previous peaks did not wait a couple of years to get their money back. It took decades to return to nominal valuations, before you adjust for inflation at all. Japan still has not made it back in real terms, and that peak was thirty-five years ago.

If you are somewhere from your forties onward, the probability of recovering your capital in real terms after an event like that is very close to zero. You do not get another run at it.

That is the actual risk here. Not a bad quarter. A decade or two of your retirement.

What we are not saying

We are not telling you this happens next month. We do not know when it happens. Nobody does, and anyone who tells you otherwise is guessing.

All investing is a matter of probabilities and what those probabilities are priced at. What we can say is where things sit against every historical precedent we have, and on that basis we are at or very close to a peak, with more leverage behind it than at any previous one.

Better to be off the beach when the tsunami comes in than on it.

What to do about it

Go and look at what you actually own. Not the names of the funds. The holdings underneath them. Most people have never done it, and it is not laziness. The statement gives you a fund name and stops there.

If you would rather not, send us your retirement plan statements and we will do it for you. We will go through them and show you what is in there, where the concentrations sit, which parts are the same bet, and what is missing.

Chris and Brad do these personally. You get the analysis whether or not it goes anywhere, and there is no obligation attached to it.

This is not a moment to say she'll be right, I'm diversified.

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